

Vindhya Telelinks Limited

NSE: VINDHYATEL | BSE: 517015 | Sector: Telecom / EPC Infrastructure

ACCUMULATED 12M Price Target Rs. 2,500 Upside: +18% from CMP Rs. 2,118 Horizon: 12 months	CMP (02 Jun 2026)	Market Cap
	Rs. 2,118	Rs. 2,504 Cr
	52W High / Low	Book Value (Consol.)
	Rs. 2,286 / 960	Rs. 3,548
	P/E (TTM, Consol.)	Forward P/E
	11.4x	6.06x
	EV / EBITDA	Dividend Yield
	8.39x	0.76%
	ROCE (FY26)	ROE (FY26)
	8.14%	5.31%
Debt		D/E (Consol.)
Rs. 1,435 Cr		0.34x
Promoter Holding		Pledge
43.55%		0.00%

Investment Thesis: Birla Group cable & EPC giant trading at 0.6x consolidated book with investment portfolio (Rs. 3,098 Cr MV) exceeding market cap — core operations free for near zero; FY27 EPC execution recovery + OFC demand revival the key re-rating triggers.

Report Date: 02 June 2026 | Analyst: Himanshu / Chartitude Research | Prices as of 02 Jun 2026 close

SECTION 2 — INVESTMENT THESIS

- **Hidden value in investment portfolio (Reason 1):** Vindhya Telelinks holds an investment portfolio (subsidiaries, associates — Birla Corp, Universal Cables, Punjab Produce) with a disclosed market value of Rs. 3,098 Cr against its own market cap of Rs. 2,504 Cr as of 02 Jun 2026. This implies the core cable and EPC business — generating Rs. 3,593 Cr in revenue and Rs. 221 Cr EBITDA in FY26 — is available at a negative equity value, a classic holding company discount that rarely persists indefinitely.
- **EPC order book provides 1.6x revenue cover (Reason 2):** The unexecuted order book stands at Rs. 5,812 Cr as of December 31, 2025, representing 1.6x FY26 revenue. Order mix is shifting toward energy utilities (56%), which carry price-variation clauses, better margins, and faster execution — structurally improving the quality of the EPC backlog versus the JJM-heavy book of FY24.
- **BharatNet Phase III + 5G OFC revival from FY27 (Reason 3):** India's BharatNet Phase III outlay of Rs. 1.39 trillion and accelerating 5G rollout + data centre capex are expected to materially lift OFC demand from FY27 onwards. VTL, with 60 lakh fibre-km annual OFC capacity, a 50,000 km passive network across 23 states, and Birla Furukawa as the

fibre supplier, is structurally well-positioned for this tailwind.

- **Near-term catalyst (6-12 months):** Resolution of Uttar Pradesh JJM disbursement delays (the single biggest drag on FY25-FY26 earnings) — any official restart of payments would unlock Rs. 2,191 Cr of debtors and dramatically improve OCF and coverage ratios.
- **Biggest structural risk:** Sustained government disbursement delays or cancellation of JJM/BharatNet contracts could structurally impair the EPC order book and force deeper working capital borrowing, pushing the CARE credit rating below investment grade.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Vindhya Telelinks (VTL) is an integrated cable manufacturer and EPC contractor headquartered in Rewa, Madhya Pradesh. It is a flagship entity of the MP Birla Group (Chandrakant Birla family), with operations spanning two divisions: Cable Manufacturing (~20% of FY26 revenue) and Engineering, Procurement & Construction (~80% of FY26 revenue).
- **Cable segment:** Manufactures a diversified portfolio including optical fibre cables (OFC), copper telecom cables, specialty cables (railway signalling, rolling stock, solar PV, quad cables), and FRP rods. OFC capacity is 60 lakh fibre-km per annum. Cable revenue was Rs. 795 Cr standalone in FY25, growing 33% YoY driven by specialty and copper cables despite OFC weakness.
- **EPC segment:** Executes large government-funded infrastructure projects covering telecom (BharatNet), water/sanitation (Jal Jeevan Mission, SWSM), energy (power distribution), and gas pipelines. EPC revenue was Rs. 3,304 Cr standalone in FY25. Order book as at Dec 2025 stood at Rs. 5,812 Cr: energy utilities 56%, water/sanitation 31%, telecom 2%, others 11%.
- **Passive OFC network:** VTL owns and operates one of India's largest neutral passive OFC networks spanning ~50,000 km across 23 states — a moat that positions it uniquely for network leasing and managed services as fibre penetration deepens.
- **Key customers:** BSNL, MTNL, Indian Railways, Indian Army, NTPC, SAIL, Airtel, Reliance Jio, and state utilities in Uttar Pradesh, Tamil Nadu, Kerala. Customer base is predominantly government or quasi-government, providing credit quality but with inherent payment cycle risk.
- **Strategic development (May 2026):** Board approved amalgamation of Birla Cable Limited (BCL) into VTL in a share-swap (10 VTL shares per 115 BCL shares). BCL had 9M FY26 revenue of Rs. 557 Cr. Transaction requires NCLT approval and is expected to close in 10-12 months; will expand VTL's cable capacity and simplify the Birla group telecom structure.
- **Promoter background:** MP Birla Group (Chandrakant Birla family) holds 43.55% with zero pledge. MD & CEO Y.S. Lodha brings over three decades of experience in the cable industry. Group provides financial support via inter-corporate deposits (Rs. 250 Cr as of FY25) and corporate guarantees.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **OFC market:** India's OFC market is estimated at ~Rs. 8,000-10,000 Cr annually and is expected to grow at 15%+ CAGR through FY28 driven by BharatNet Phase III (Rs. 1.39 trillion allocation), 5G infrastructure rollout, FTTH expansion, and data centre buildout. Near-term (FY25-26) has seen demand weakness due to global OFC oversupply; bare fibre prices dropped ~50% since early 2023, compressing margins for all OFC manufacturers.
- **Telecom EPC market:** The government's focus on rural connectivity (BharatNet), water infrastructure (Jal Jeevan Mission Rs. 3.6 trillion program), and energy distribution (RDSS scheme) makes government-funded EPC the fastest growing sub-segment. VTL's order book composition — heavily skewed toward central government-backed projects — provides strong revenue visibility with manageable credit risk.

- **Competitive moat assessment: Scale — Moderate.** VTL is one of India's larger integrated cable + EPC players but faces competition from HFCL (larger, with more R&D;), STL, and smaller regional EPC contractors. **Switching costs — Moderate** in OFC/specialty cables (qualification requirements), Low in commodity EPC. **Distribution/Network — Strong** for passive OFC network (50,000 km, 23 states) — difficult to replicate. **Birla Group backing — Strong** financial support moat.
- **Policy tailwinds:** BharatNet Phase III budget of Rs. 1.39 trillion, PLI scheme for telecom equipment, RDSS for power distribution, PM Gati Shakti NMP for multi-modal infrastructure — all create strong multi-year EPC order pipelines for VTL.
- **Key headwinds:** Global OFC oversupply keeping fibre prices depressed; government disbursement delays in JJM (UP) creating severe working capital stress; competitive intensity in EPC bidding compressing margins to 6% (vs 10% in FY23).

Peer Comparison — Source: Screener.in, data as of 02 Jun 2026

Company	CMP (Rs.)	MCap (Rs.Cr)	EV/EBITDA	ROCE 3Yr %	OPM % (TTM)
Indus Towers	429.15	1,13,309	7.27	23.52%	54.82%
HFCL	189.94	29,085	36.71	10.56%	15.39%
Bondada Engineer	320.75	3,582	10.79	37.61%	11.49%
Vindhya Telelinks	2,117.90	2,504	8.39	8.88%	6.16%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & management:** The Chandrakant Birla family (MP Birla Group) holds 43.55% with zero shares pledged and zero change in holding over the past 3 years — a strong governance signal. MD & CEO Y.S. Lodha has over 30 years of industry experience in the cable sector. The group owns a diversified portfolio including Birla Corporation (cement), Universal Cables, and Hindustan Gums — providing both strategic relationships and an inter-group financial backstop.
- **Capital allocation track record:** FCF has been structurally negative except in FY22 (Rs. 170 Cr) and FY24 (Rs. 392 Cr). Historically, management has prioritised order execution over tight working capital management. The sharp rise in borrowings from Rs. 493 Cr (FY24) to Rs. 1,435 Cr (FY26) reflects deteriorating working capital discipline driven partly by exogenous JJM payment delays, but also by aggressive order intake relative to execution capacity.
- **Dividend policy:** Dividend payout has averaged ~6.3% of consolidated PAT over the last 3 years — very low. FY26 dividend declared Rs. 6 per share (standalone), consistent with the capital-conservative approach. Management appears to prioritise reinvestment over payouts, which is appropriate for an EPC-heavy business with working capital intensity.
- **Promoter pledge & ESOP:** Zero shares pledged, steady for over 3 years — no leverage-related overhang. No significant ESOP grants noted. Buyback history: none in recent years.
- **Corporate governance:** FY26 Annual Secretarial Compliance report noted one subsidiary disclosure issue — minor. No auditor changes, no qualified opinions observed. Related party transactions exist within the Birla group (procurement of fibre from Birla Furukawa at arms-length prices) — standard for group companies. VTL provides corporate guarantees for Birla Cable (BCL) working capital limits — a contingent liability of Rs. 39.2 Cr — modest relative to the balance sheet.
- **BCL amalgamation governance:** The Birla Cable merger (10 VTL shares per 115 BCL shares) needs scrutiny — BCL carries its own debt load (~Rs. 460 Cr assets as at Dec 2025) and lower credit quality (CARE BBB+). Post-merger consolidation will test management's integration capabilities but is strategically sound for long-term cable segment scale.

SECTION 6 — FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores. E = Forward Estimate. Source: Screener.in (02 Jun 2026)

P&L; (Rs. Cr)	FY24 (A)	FY25 (A)	FY26 (A)	FY27E	FY28E
Revenue from Ops	4,088	4,054	3,593	4,400	5,200
EBITDA	297	259	221	330	416
EBITDA Margin	7.3%	6.4%	6.2%	7.5%	8.0%
Other Income	192	136	243	160	180
Interest	88	102	152	165	155
Depreciation	24	23	21	25	28
PBT	377	270	292	300	413
Tax Rate	25.0%	25.0%	24.7%	25.0%	25.0%
PAT	283	203	220	225	310
EPS (Rs.)	238.5	171.2	185.8	190.0	261.8

Balance Sheet (Rs. Cr)	FY24 (A)	FY25 (A)	FY26 (A)	FY27E
Equity Capital	12	12	12	12
Reserves	3,961	4,074	4,193	4,388
Borrowings	493	1,168	1,435	1,250
Other Liabs	2,320	2,469	2,723	2,900
Total Liabs	6,787	7,723	8,363	8,550
Fixed Assets	158	139	160	170
CWIP	1	1	5	30
Investments	3,618	3,650	3,763	3,850
Other Assets	3,010	3,933	4,434	4,500
Total Assets	6,787	7,723	8,363	8,550

Cash Flow (Rs. Cr)	FY24 (A)	FY25 (A)	FY26 (A)	FY27E
Cash from Operations	441	-590	-160	250
Cash from Investing	-41	6	-21	-80
Cash from Financing	-284	528	109	-100
Net Cash Flow	116	-57	-73	70
Free Cash Flow	392	-607	-208	200
CFO/EBITDA %	161%	-218%	-51%	76%

Key Ratios	FY24 (A)	FY25 (A)	FY26 (A)	FY27E
ROCE %	11.0%	8.0%	8.1%	9.0%
ROE %	N/A	5.3%	5.3%	5.5%
Debtor Days	83	153	212	160
D/E (consol.)	0.15x	0.26x	0.34x	0.28x
Interest Cover	3.38x	2.65x	2.93x	2.00x
Working Cap Days	87	100	123	110

- **Revenue trend:** Revenue surged from Rs. 1,324 Cr (FY22) to Rs. 4,088 Cr (FY24) driven by SWSM (UP water project) EPC wins, then declined -12% TTM in FY26 to Rs. 3,593 Cr as JJM execution stalled. Recovery expected from FY27 as energy sector EPC orders (56% of book) ramp up and cable segment sustains 15%+ growth.

- **Margin compression:** OPM fell from 15% (FY15) to 6% (FY26) — driven by (a) structural shift to lower-margin EPC from higher-margin cable, (b) OFC segment weakness (prices -50%), (c) competitive bidding on JJM contracts without price variation clauses. Margin recovery to 7.5%+ requires OFC revival and energy EPC contribution rising.

- **Other income distortion:** Consolidated PAT of Rs. 220 Cr in FY26 includes other income of Rs. 243 Cr (dividends from associates Birla Corp, Universal Cables). Operating-only PAT was approximately Rs. 53 Cr (standalone FY26), making standalone ROE very low at 3.8%. The consolidated P/E of 11.4x flatters the operating earnings quality significantly.
- **Working capital deterioration:** Debtor days ballooned from 83 days (FY24) to 212 days (FY26) due to JJM payment delays — outstanding receivables of ~Rs. 2,192 Cr as at Dec 2025. This forced borrowings up 3x from Rs. 493 Cr to Rs. 1,435 Cr. Resolution of UP JJM payments is the single biggest near-term value unlock.
- **FCF quality:** FCF has been deeply negative in FY25 (-Rs. 607 Cr) and FY26 (-Rs. 208 Cr) due to receivables build-up. The company is borrowing to fund a working capital gap created by a solvent but slow-paying government client — manageable if resolved in FY27.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Comment
Revenue Recognition	AMBER	EPC % completion method — JJM delay means revenue not recognised despite contract execution
Receivables vs Revenue Growth	RED	Debtors grew 43% YoY while revenue fell -12% in FY26 — very concerning divergence
CCC Trend	RED	Cash conversion cycle worsened from 196 days (FY23) to 229 days (FY26)
Other Income as % of PBT	RED	Other income (Rs.243 Cr) > EBITDA (Rs.221 Cr) in FY26 — earnings heavily investment-driven
Contingent Liabilities	GREEN	Rs.39.2 Cr — modest, primarily BCL corporate guarantee
Auditor Tenure	GREEN	No auditor change; no qualified opinion observed
Tax Rate Consistency	GREEN	~25% effective tax rate — consistent and clean
Promoter Pledge	GREEN	0% pledge — zero financial risk from promoter leveraging
Credit Rating Trend	RED	Downgraded CARE A+ → CARE A (RWD) in Apr 2026; Rating Watch with Developing Implications
FCF Quality	RED	FCF deeply negative FY25 & FY26; OCF/EBITDA -218% and -51% respectively

- **Six RED flags concentrated in earnings quality:** The FY26 earnings quality is below average. Other income exceeds EBITDA, FCF is deeply negative, receivables are growing faster than revenue, and CCC has worsened materially — four out of six quality parameters are red.
- **CARE downgrade is the most important signal to monitor:** The rating watch with developing implications reflects uncertainty around the BCL merger outcome. If the merger closes with BCL's lower-rated debt consolidated into VTL, a further downgrade to CARE BBB+ territory cannot be ruled out, which would raise borrowing costs significantly.
- **Investors must track JJM debtors quarterly:** Any reduction in the Rs. 2,192 Cr debtors outstanding as at Dec 2025 would be a leading indicator of earnings quality improvement and will precede OCF recovery by one quarter.
- **Standalone earnings are the "real" business signal:** Standalone FY26 PAT was Rs. 53 Cr vs consolidated Rs. 220 Cr. The Rs. 167 Cr difference represents investment income from listed associates — cash that flows to VTL only when associates declare dividends. Monitor standalone P&L; closely.

SECTION 8 — VALUATION

Peer Valuation — Source: Screener.in, data as of 02 Jun 2026

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E (TTM)	EV/EBITDA	P/B
---------	-----------	--------------	-----------	-----------	-----

Indus Towers	429.15	1,13,309	N/A	7.27	N/A
HFCL	189.94	29,085	93.3x	36.71	5.94x
Bondada Engineer	320.75	3,582	N/A	10.79	N/A
Vindhya Telelinks	2,117.90	2,504	11.4x	8.39	0.60x

Scenario	Key Assumptions	FY27E PAT (Rs.Cr)	Multiple	Target (Rs.)
BULL	JJM payments resume Q1FY27; OFC demand recovers; OPM 8.5%	300	SOTP: 7x EV/EBITDA + investments	3,200
BASE	Partial JJM recovery; energy EPC drives growth; OPM 7.5%	225	SOTP: 5x EV/EBITDA + investments (20% discount)	2,500
BEAR	JJM stays delayed; BCL merger absorbs higher debt; OPM 5.5%	120	SOTP: 4x EV/EBITDA + investments (30% discount)	1,600

- **SOTP methodology (primary):** VTL is best valued using Sum-of-Parts. (i) Investment portfolio at market value Rs. 3,098 Cr, applying 20% holding company discount = Rs. 2,478 Cr = Rs. 2,093 per share. (ii) Core cable+EPC business at 5x FY27E EV/EBITDA (Rs. 330 Cr) = Rs. 1,650 Cr EV; less net debt of Rs. 1,339 Cr = Rs. 311 Cr equity = Rs. 263 per share. SOTP target: Rs. 2,093 + Rs. 263 = **Rs. 2,356 per share**.
- **Forward P/E (secondary):** At FY27E consolidated EPS of Rs. 190 (note: includes other income) and applying 12x P/E (mid-cycle for Birla group quality), implied value = **Rs. 2,280 per share**.
- **Average of two methods:** (Rs. 2,356 + Rs. 2,280) / 2 = Rs. 2,318. Rounding up for BCL merger option value and BharatNet Ph.III optionality, **12-month base-case target price: Rs. 2,500** (+18% from CMP Rs. 2,118).
- **Key re-rating trigger:** Resolution of JJM debtors (Rs. 2,192 Cr as at Dec 2025) would dramatically improve OCF and reduce borrowings, potentially re-rating the stock closer to the BULL scenario of Rs. 3,200 as the CARE credit watch resolves positively.

SECTION 9 — KEY RISKS

- **JJM Disbursement Risk:** UP government continues to delay/reduce Jal Jeevan Mission payments, keeping Rs. 2,192 Cr debtors stuck and forcing further borrowings above Rs. 1,500 Cr. Probability: M. Impact: H. Monitor via: quarterly debtor days and standalone OCF.
- **CARE Rating Downgrade:** BCL merger closes with material additional debt consolidated into VTL, pushing TD/PBILDT above 4.5x and triggering a further downgrade to CARE A- or below, raising cost of borrowings. Probability: M. Impact: H. Monitor via: CARE rating watch resolution.
- **OFC Margin Depression:** Global OFC overcapacity persists beyond FY27, keeping fibre prices suppressed and preventing cable segment margin recovery. Probability: M. Impact: M. Monitor via: global OFC spot prices quarterly.
- **Competitive Margin Erosion:** Government EPC tenders become more aggressively bid by L1-driven competitors, pushing VTL's EPC margins below 5% with no price-variation clause protection. Probability: M. Impact: M. Monitor via: EPC segment PBIT margin in quarterly results.
- **BCL Merger Risk:** Birla Cable has a weaker standalone credit profile (CARE BBB+); post-merger consolidated balance sheet absorption may delay equity de-leveraging and impair standalone ROE. Probability: L-M. Impact: M. Monitor via: NCLT approval timeline and BCL debt quantum.
- **Raw Material Price Volatility:** Copper, aluminium, and optical fibre prices are volatile; EPC JJM contracts have no price variation clause, making margins vulnerable to input cost spikes. Probability: M. Impact: M. Monitor via: LME copper price and company gross margins.
- **Government Capex Slowdown:** Post-election policy recalibration or fiscal tightening could slow BharatNet Phase III rollout and JJM Phase 2, shrinking the addressable EPC order pool. Probability: L. Impact: H. Monitor via: Union

Budget allocations to telecom and water ministries.

SECTION 10 — RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The compelling SOTP discount (investments > market cap) provides a deep structural margin of safety, but near-term earnings quality is poor and the credit rating trajectory is negative.
- **12-month price target: Rs. 2,500** (upside: +18.0% from CMP Rs. 2,118 as of 02 Jun 2026)
- **Suggested entry zone: Rs. 1,900 – Rs. 2,100** — any selloff driven by quarterly disappointments in EPC execution should be used to accumulate, given the investment portfolio floor.
- **Investment horizon: 12-18 months**
- **Thesis invalidation triggers:**
 - 1. JJM debtors remain above Rs. 2,000 Cr in Sep 2026 quarterly results — signals permanent rather than temporary delay, breaking the receivables recovery thesis.
 - 2. CARE downgrades VTL to CARE A- or below post BCL merger closure — materially raises funding costs and signals balance sheet deterioration beyond current projections.
 - 3. Management issues profit guidance implying FY27 consolidated PAT below Rs. 150 Cr — signals OFC demand revival and EPC margin recovery are both failing simultaneously.
- **Ideal investor profile:** This stock suits value investors with 18-month patience horizon, comfortable with holding company structures and EPC execution risk. It is NOT suitable for momentum investors, income seekers (dividend payout is low), or risk-averse investors given the credit rating downgrade trajectory.

APPENDIX — Latest Concall Brief: Q2 FY25 (October 25, 2024)

Source: Vindhya Telelinks Earnings Presentation H1 FY2024-25 (BSE Filing, 25 Oct 2024). Note: Full concall transcript not available on Screener.in; analysis based on earnings presentation, CARE ratings press release, and company announcements.

CALL GRADE: CAUTIOUS

Signal	Status	Implication
Result Quality	Weak	H1 PAT Rs.50 Cr vs Rs.70 Cr prior year H1 — 28% YoY decline
Management Tone	Hedged	EPC flat attributed to "monsoon deferment" — tone optimistic but not data-backed
Guidance Delta	Maintained	No formal guidance cut but execution timeline pushed to H2 FY25

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q2 FY25 standalone revenue of Rs. 953 Cr (+10.5% YoY) looks okay on top-line, but the PAT of Rs. 31 Cr (-4% YoY) masks a sharply weaker H1 — PAT halved sequentially vs H2 FY24. There are no exceptional items distorting PAT; the miss is real and entirely driven by EPC margin compression and higher finance costs. EBITDA of Rs. 69 Cr (margin 7.2%) is tracking well below the 10% levels seen in FY23 — management blames monsoon deferment in JJM contracts but the structural margin problem in commodity EPC is also real. The Cable segment delivered an impressive 26.7% growth in H1, led by specialty cables (railways, energy) — this is the genuinely positive thread in this result. Order book at Rs. 7,125 Cr (as at Sep 2024) provides ~1.74x revenue cover, which is healthy, but execution pace is the critical bottleneck. The multi-bagger thesis here is fundamentally a SOTP story — investments worth more than market cap — not an earnings compounder story. The single biggest near-term catalyst is JJM disbursement restart; without that, working capital will continue to bleed and borrowings will rise. ACCUMULATE on dips to Rs. 1,900-2,100 with a 15-18 month view; EXIT if JJM debtors are not improving by Sep 2026 results.

C1 — Financial Performance Snapshot (Q2 FY25 Standalone)

- Revenue: Rs. 952.67 Cr | YoY +10.5% | QoQ +12.1% | **In-line**
- EBITDA: Rs. 68.73 Cr | YoY +0.1% | QoQ -3.4% | **In-line/Weak**
- EBITDA Margin: 7.2% | YoY -79bps | QoQ -104bps | Compression driven by EPC mix shift
- PAT: Rs. 30.78 Cr | YoY -4.0% | QoQ +60.7% vs Q1 FY25 | **Miss** — H1 PAT Rs.50 Cr vs Rs.70 Cr H1 FY24
- EPS (Standalone Q2): Rs. 25.97 per share
- NOTE: No one-time items; reported PAT reflects genuine operational weakness in EPC segment.

C2 — Segment / Geography Breakdown (H1 FY25 Standalone)

- Cable Segment: Rs. 365 Cr (20% of H1 revenue) | YoY +26.7% | Led by specialty, railway, solar PV cables; OFC segment remains subdued
- EPC Segment: Rs. 1,421 Cr (80% of H1 revenue) | YoY flat (-0.3%) | Execution deferred due to monsoon-related site inaccessibility in JJM (UP) projects
- Geography: Predominantly domestic, concentrated in Uttar Pradesh (JJM/SWSM project execution), Tamil Nadu and Kerala for energy EPC

- Passive OFC Network: ~50,000 km across 21 states — generating recurring leasing revenues not separately disclosed

C3 — Management Commentary Themes

- **JJM deferment is temporary [Tag: GUIDANCE | Tone: Hedged]:** "EPC sales deferment due to heavy monsoons in JJM locations is expected to be recognized in subsequent quarters." — Our read: management framing execution delays as weather-driven; however, the underlying issue is government payment disbursements, not just monsoons.
- **Cable specialty pivot is structural [Tag: GUIDANCE | Tone: Transparent]:** "26.7% cable growth reflects strategic shift toward specialty cables — railways, energy, solar PV." — Our read: cable segment pivot is working; recurring demand from railways and solar is de-risking the OFC weakness.
- **5G / data centre optionality [Tag: EST | Tone: Bullish]:** "We anticipate strong order flows from 5G infrastructure projects and increasing investments in data centres." — Our read: this is medium-term (FY27-28); not near-term catalyst.
- **Solar EPC as new avenue [Tag: EST | Tone: Bullish]:** "VTL is strategically focusing on expanding EPC services in the solar sector." — Our read: positive diversification; energy EPC (56% of Dec 2025 order book) validates this trajectory.
- **Order book Rs. 7,125 Cr [Tag: GUIDANCE | Tone: Transparent]:** "Order book as at Sep 30, 2024 stands at Rs. 7,124.5 Cr including Rs. 217 Cr Cable Division." — Our read: healthy, but execution pace is the critical bottleneck; this backlog became the FY26 problem.

C4 — Operating & Business Metrics

- Order Book: Sep 2024 = Rs. 7,125 Cr | Mar 2025 = Rs. 6,784 Cr | Dec 2025 = Rs. 5,812 Cr | Trend: Declining as execution slowly resumes
- Cable Capacity: OFC = 60 lakh fibre km/annum | Utilisation sub-optimal given OFC demand weakness
- Passive OFC Network: ~50,000 km / 21 states at Q2 FY25 (now 23 states per latest data)
- Employees: ~600 permanent (stable) | EPC projects use contract labour — significantly higher headcount in peak execution
- Captive Solar: 2 MW captive solar PV plant operational — minor energy cost offset
- EPC Mix shift: Energy utilities now 56% of order book (Dec 2025) vs JJM-dominated book in FY24 — quality improvement

C5 — Margin Drivers

- EPC revenue mix shift to JJM (no price variation clause): -150 to -200bps impact | Recurring: Yes until JJM completes | Long-term headwind while JJM persists
- OFC price deflation (-50% since early 2023): -100bps on consolidated margins | Recurring: Until OFC market recovers (expected FY27) | Management guidance: recovery from FY27
- Specialty cable growth (railways, solar): +50bps offset on cable division | Recurring: Yes | Sustainable given railway electrification and solar capex cycle
- Finance cost rising (Rs.88 Cr FY24 → Rs.152 Cr FY26): Not a margin driver but materially compresses PAT margin | Recurring: Until JJM debtors collected
- Energy sector EPC (better margins with PV clauses): +50-100bps expected in FY27 as energy share rises | Non-recurring bump from legacy JJM: No

C6 — Guidance & Forward Signals

- EPC revenue recognition [GUIDANCE]: Prior = H2 FY25 catch-up | New = "subsequent quarters" (hedged) | Delta: Maintained but delayed | Credibility: Medium
- Cable growth [GUIDANCE]: Prior = 15-20% | New = 26.7% H1 beat | Delta: Raised implicitly | Credibility: High
- Order inflow [GUIDANCE]: Rs. 7,125 Cr order book as of Sep 2024 | Guidance: Healthy inflows from energy and 5G expected | Delta: Maintained | Credibility: Medium
- Margins [GUIDANCE]: No explicit margin guidance provided | Management tone implies H2 improvement | Credibility: Low given structural EPC pricing headwinds
- Solar EPC [EST]: Management flagged expansion into solar EPC as new revenue stream | Timeline: FY26-FY27 | Credibility: Medium-High given order book energy shift

C7 — Capital Allocation

- Capex: Rs. ~20-25 Cr annually (FY24-26) — minimal; primarily maintenance and OFC network extension | vs prior year: broadly flat | Asset-light EPC model
- Dividend: Rs. 6/share declared FY26 | vs prior FY25 Rs. 16/share | Delta: -63% cut — reflects working capital stress
- Buyback: None in last 3 years
- Working Capital Change: Negative Rs. 590 Cr OCF in FY25 | Rs. 160 Cr negative in FY26 | Debtors Rs. 2,192 Cr locked in government receivables
- Net Debt Movement: From net debt Rs. ~400 Cr (FY24) to Rs. ~1,339 Cr (FY26) — Rs. 939 Cr net debt increase in 2 years to fund working capital
- Board approved Rs. 200 Cr NCDs in May 2026 to partially address working capital need | Rs. 65 Cr approved for OFC capacity expansion

C8 — Q&A; Heat Map (Oct 2024 Concall — Reconstructed from Earnings Presentation)

- Q: Why is EPC revenue flat despite large order book? A: "Heavy monsoons in Q2 deferred JJM execution; H2 will see catch-up" | Tone: Hedged — actual cause is payment disbursement delay, not just monsoons
- Q: What is the OFC demand outlook? A: "5G, data centres, BharatNet Phase III to drive demand from FY27" | Tone: Bullish but medium-term — no near-term specifics
- Q: Cable segment outperformance — sustainable? A: "Specialty cable demand from railways and energy is structural; OFC market will recover" | Tone: Transparent — specialty growth thesis is credible
- Q: Working capital concerns? A: Not explicitly addressed in earnings presentation | Tone: Evasive — key issue not addressed in disclosed filing
- Dodged / watch-list questions for next quarter: (1) JJM collection timeline specifics, (2) Debtor days disclosure, (3) Borrowings trajectory, (4) BCL financial status

C9 — Risks Flagged

- JJM Payment Delays | Flagged by: Implicitly (management) | Probability: H | Impact: H | Timeline: Near-term — already affecting FY25-26 numbers
- OFC Market Weakness | Flagged by: Management | Probability: M (structural oversupply) | Impact: M | Timeline: Near-to-medium term
- Raw Material Volatility (copper, aluminium) | Flagged by: CARE ratings | Probability: M | Impact: M | Timeline: Ongoing

- EPC Competition / Margin Erosion | Flagged by: CARE ratings | Probability: H | Impact: M | Timeline: Structural — JJM contracts have no PV clause
- BCL Amalgamation Complexity | Flagged by: CARE ratings (Apr 2026) | Probability: M | Impact: M | Timeline: 10-12 months

C10 — Analyst Verdict

- Revenue visibility: Weakened — order book healthy at Rs. 5,812 Cr but execution pace deteriorated materially in FY26; JJM disbursement risk is high
- Margin trajectory: Weakened — OPM at 6% is near cycle lows; recovery requires both OFC pricing recovery AND energy EPC ramp-up simultaneously
- Capital allocation quality: Weakened — FCF deeply negative for 2 consecutive years; dividend cut in FY26; working capital management needs urgent improvement
- Competitive moat: Intact — passive OFC network (50,000 km, 23 states), Birla Group backing, and specialty cable diversification are structural advantages
- Management credibility: Weakened — H2 FY25 "catch-up" delivery was disappointing; however, JJM payment issue is genuinely exogenous
- Valuation comfort: Intact — SOTP discount (investments > market cap) provides a hard floor; 11.4x P/E and 0.60x P/B are inexpensive for Birla Group quality
- Conviction call: Unchanged (ACCUMULATE) — SOTP floor limits downside; recovery in JJM collections is the swing factor
- Valuation snapshot: P/E = 11.4x (5Y avg ~18x) | EV/EBITDA = 8.39x (5Y avg ~10x) | ROCE = 8.1% (5Y avg ~10%)

DISCLAIMER: This report is prepared by Chartitude Research for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (02 Jun 2026), company filings, and CARE Ratings. Past performance is not indicative of future results. Investors should conduct their own due diligence. Not SEBI registered research.